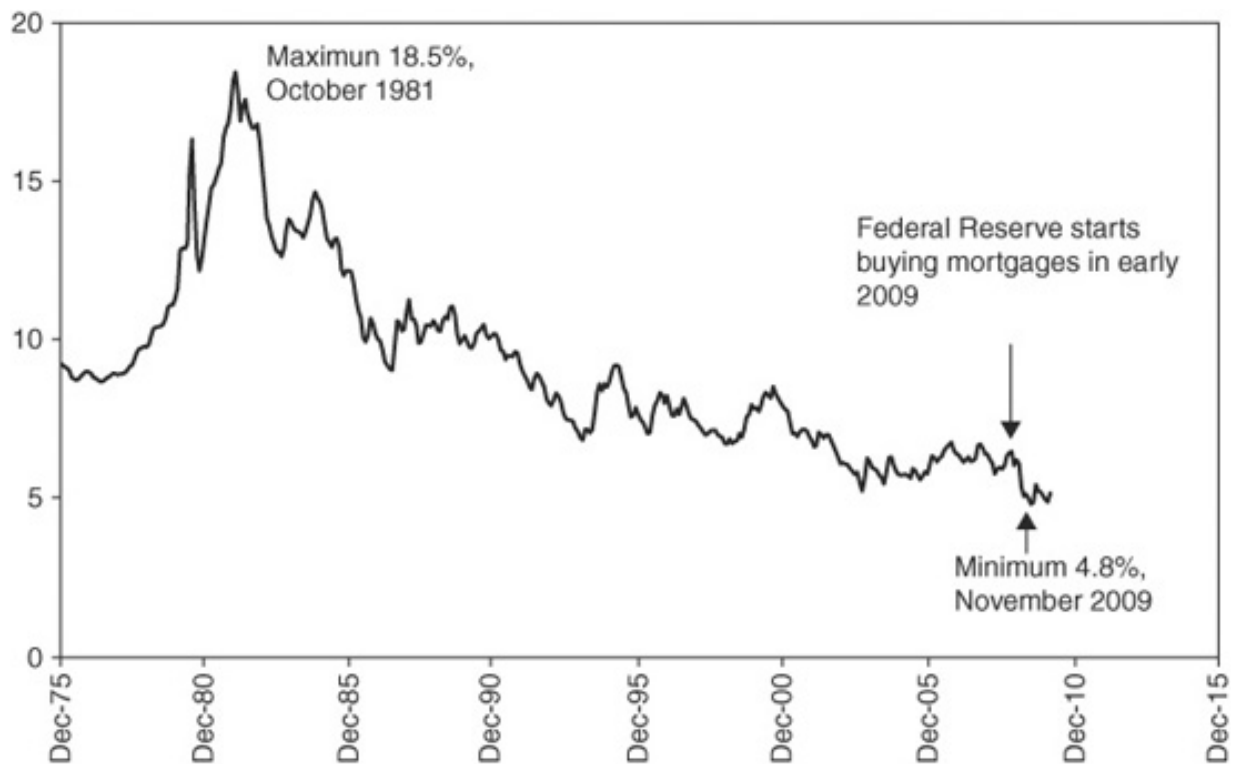


30-Year Mortgage Rates as Reported by the Federal Home Loan Mortgage Corporation



For practical reasons, home equity from the house you live in should be left outside the asset allocation of your investment portfolio. The primary purpose for buying the home is for you to have a place to live. Any appreciation of that property after taxes, interest expense, and inflation is purely incidental to its function as shelter. Trying to include your home as part of your asset allocation to real estate in an investment portfolio creates a number of problems because you can never be sure of the true market value, and you cannot rebalance your home equity against other assets.

REIT INVESTMENT LIST

[Table 9-3](#) is a partial list of low-cost funds that are candidates for your REIT allocation. For more information on these and other low-cost no-load funds and the indexes they follow, read *All About Index Funds*, 2nd edition (New York: McGraw-Hill, 2007), and *The ETF Book*, 2nd edition (Hoboken, NJ: Wiley, 2009).

TABLE 9-3